Comparative Financial Ratio Analysis

Asian Paints Limited vs Berger Paints India Limited

Paints Industry | FY 2023–24

CHANDANA.R

I. Liquidity Ratios

FY 2023–24 | Standalone

1. Current Ratio

Current Assets / Current Liabilities

Asian Paints: 14,553.21 / 6,221.01

Berger Paints: 3,623.87 / 2,036.27

Asian Paints = 2.34 : 1 | Berger = 1.78 : 1

2. Quick Ratio

(Current Assets − Inventory − Prepaid Expenses) / Current Liabilities

Prepaid expenses not separately disclosed.

Asian Paints: (14,553.21 − 5,074.76) / 6,221.01

Berger: (3,623.87 − 2,019.43) / 2,036.27

Asian Paints = 1.52 : 1 | Berger = 0.79 : 1

3. Cash Ratio

Cash & Bank / Current Liabilities

Asian Paints: (325.96 + 23.84) / 6,221.01

Berger: (151.20 + 183.04) / 2,036.27

Asian Paints = 0.06 : 1 | Berger = 0.16 : 1

4. Basic Defence Interval Ratio

Quick Assets / Average Daily Cash Operating Expenses

Asian Paints Quick Assets = ₹9,478.45 crore

Berger Quick Assets = ₹1,604.44 crore

Daily expense = (Operating Expenses − Depreciation) / 365

Asian Paints = 145.25 days | Berger = 70.29 days

II. Leverage Ratios

FY 2023–24 | Standalone

5. Equity Ratio

Shareholders’ Equity / Total Assets

Asian Paints: 18,425.09 / 25,981.90

Berger: 5,005.24 / 7,581.66

Asian Paints = 0.71 | Berger = 0.66

6. Debt Ratio

Total Debt / Total Assets

Asian Paints: 152.85 / 25,981.90

Berger: 64.41 / 7,581.66

Asian Paints = 0.0059 | Berger = 0.0085

7. Debt-to-Equity Ratio

Total Debt / Shareholders’ Equity

Asian Paints: 152.85 / 18,425.09

Berger: 64.41 / 5,005.24

Asian Paints = 0.0083 : 1 | Berger = 0.0129 : 1

8. Debt-to-Total-Asset Ratio

Total Debt / Total Assets

Same underlying figures as Debt Ratio.

Asian Paints = 0.0059 | Berger = 0.0085

9. Capital Gearing Ratio

Fixed Interest-Bearing Funds / Equity Shareholders’ Funds

Asian Paints: 152.85 / 18,425.09

Berger: 64.41 / 5,005.24

Asian Paints = 0.0083 : 1 | Berger = 0.0129 : 1

10. Proprietary Ratio

Shareholders’ Funds / Total Assets

Asian Paints: 18,425.09 / 25,981.90

Berger: 5,005.24 / 7,581.66

Asian Paints = 0.71 | Berger = 0.66

III. Coverage Ratios

FY 2023–24 | Standalone

11. Debt Service Coverage Ratio

EBIT / (Interest + Principal Repayment)

Asian Paints EBIT = 7,120.46; principal repayment = 0

Berger EBIT = 1,432.12; principal repayment = 7,021.31

Asian Paints = 61.69 | Berger = 0.20

12. Interest Coverage Ratio

EBIT / Interest

Asian Paints: 7,120.46 / 115.42

Berger: 1,432.12 / 64.66

Asian Paints = 61.69× | Berger = 22.15×

13. Preference Dividend Coverage

PAT / Preference Dividend

No separately reported preference dividend for either company.

Asian Paints = N/A | Berger = N/A

14. Equity Dividend Coverage

PAT / Equity Dividend

Asian Paints: 5,321.55 / 2,532.38

Berger: 1,015.05 / 310.86

Asian Paints = 2.10× | Berger = 3.27×

IV. Activity Ratios — I

FY 2023–24 | Standalone

15. Total Assets Turnover

Revenue / Total Assets

Asian Paints: 30,850.12 / 25,981.90

Berger: 10,002.93 / 7,581.66

Asian Paints = 1.19× | Berger = 1.32×

16. Fixed Asset Turnover

Revenue / Fixed Assets

Asian Paints: 30,850.12 / 3,750.20

Berger: 10,002.93 / 2,259.66

Asian Paints = 8.23× | Berger = 4.43×

17. Current Asset Turnover

Revenue / Current Assets

Asian Paints: 30,850.12 / 14,553.21

Berger: 10,002.93 / 3,623.87

Asian Paints = 2.12× | Berger = 2.76×

18. Net Asset Turnover

Revenue / Shareholders’ Funds

Asian Paints: 30,850.12 / 18,425.09

Berger: 10,002.93 / 5,005.24

Asian Paints = 1.67× | Berger = 2.00×

19. Working Capital Turnover

Revenue / Working Capital

Asian Paints WC = 14,553.21 − 6,221.01 = 8,332.20

Berger WC = 3,623.87 − 2,036.27 = 1,587.60

Asian Paints = 3.70× | Berger = 6.30×

IV. Activity Ratios — II

20. Debtors Turnover

Credit Revenue / Average Debtors

Credit sales not separately disclosed; revenue used as proxy.

Asian Paints average debtors = (3,633.45 + 3,462.61)/2 = 3,548.03

Berger average debtors = (979.39 + 970.80)/2 = 975.10

Asian Paints = 8.70× | Berger = 10.26×

21. Debtors Velocity

Average Debtors / Credit Revenue × 365

Asian Paints: 3,548.03 / 30,850.12 × 365

Berger: 975.10 / 10,002.93 × 365

Asian Paints = 41.98 days | Berger = 35.58 days

22. Creditors Turnover

Credit Purchases / Average Creditors

Exact credit purchases are not separately disclosed for either company.

Asian Paints = Not directly calculable | Berger = Not

23. Creditors Velocity

Average Creditors / Credit Purchases × 365

Depends on exact credit purchases, which are not separately disclosed.

Asian Paints = Not directly calculable | Berger = Not d

V. Profitability Ratios — I

FY 2023–24 | Standalone

24. Net Profit Ratio — After Tax

PAT / Total Income × 100

Asian Paints: 5,321.55 / 31,674.68 × 100

Berger: 1,015.05 / 10,060.37 × 100

Asian Paints = 16.80% | Berger = 10.09%

25. Net Profit Ratio — Before Tax

PBT / Total Income × 100

Asian Paints: 7,005.04 / 31,674.68 × 100

Berger: 1,367.46 / 10,060.37 × 100

Asian Paints = 22.12% | Berger = 13.59%

26. Operating Profit Ratio

Operating Profit / Total Income × 100

Operating Profit = PBT + Finance Cost

Asian Paints: 7,120.46 / 31,674.68 × 100

Berger: 1,432.12 / 10,060.37 × 100

Asian Paints = 22.48% | Berger = 14.24%

27. Operating Expenses Ratio

Operating Expenses / Total Income × 100

Asian Paints operating expenses = 24,553.58

Berger operating expenses = 8,628.25

Asian Paints = 77.52% | Berger = 85.76%

28. Financial Expenses Ratio

Finance Cost / Total Income × 100

Asian Paints: 115.42 / 31,674.68 × 100

Berger: 64.66 / 10,060.37 × 100

Asian Paints = 0.36% | Berger = 0.64%

V. Profitability Ratios — II

FY 2023–24 | Standalone

29. ROA — Before Tax

PBT / Total Assets × 100

Asian Paints: 7,005.04 / 25,981.90 × 100

Berger: 1,367.46 / 7,581.66 × 100

Asian Paints = 26.96% | Berger = 18.04%

30. ROA — After Tax

PAT / Total Assets × 100

Asian Paints: 5,321.55 / 25,981.90 × 100

Berger: 1,015.05 / 7,581.66 × 100

Asian Paints = 20.48% | Berger = 13.39%

31. ROCE — Before Tax

EBIT / Capital Employed × 100

Capital Employed = Total Assets − Current Liabilities

Asian Paints CE = 19,760.89

Berger CE = 5,545.39

Asian Paints = 36.03% | Berger = 25.83%

32. ROCE — After Tax

PAT / Capital Employed × 100

Asian Paints: 5,321.55 / 19,760.89 × 100

Berger: 1,015.05 / 5,545.39 × 100

Asian Paints = 26.93% | Berger = 18.30%

33. Return on Equity

PAT / Shareholders’ Equity × 100

Asian Paints: 5,321.55 / 18,425.09 × 100

Berger: 1,015.05 / 5,005.24 × 100

Asian Paints = 28.88% | Berger = 20.28%

Overall Comparison

Asian Paints vs Berger Paints

- Asian Paints shows stronger overall liquidity, lower leverage and stronger profitability.
- Berger Paints performs better on several efficiency measures, including total asset turnover, current asset turnover, working-capital turnover and debtor turnover.
- Cash ratio and equity dividend coverage are stronger for Berger Paints.
- Creditors turnover and creditors velocity are not directly calculable because exact credit purchases are not separately disclosed.